DR. NILESH SHAH - STOCKS FAIRSCOPE

Independent Fair Value & Risk Report

Reliance Industries Limited

RELIANCE.NS • NSE • INR • Energy

MARKET PRICE	FAIR VALUE	UPSIDE / DOWNSIDE	MOS PRICE
INR 1,314.40	INR 457.98	-65.2%	INR 289.80

Above estimated fair value

Confidence 63/100 • Required MOS 37% • Cyclical / commodity

Analysis ID	FS-20260820-3AF39AA5076C
Model	FairValueEngine 4.3 • Audit schema 1.3
Data	Yahoo Finance + Screener.in • network
Generated	20 Aug 2026, 07:40 UTC

Automated research estimate • Verify all data and assumptions • Not investment advice

Confidential research copy • Educational use only • Not investment advice

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Fair Value Analysis

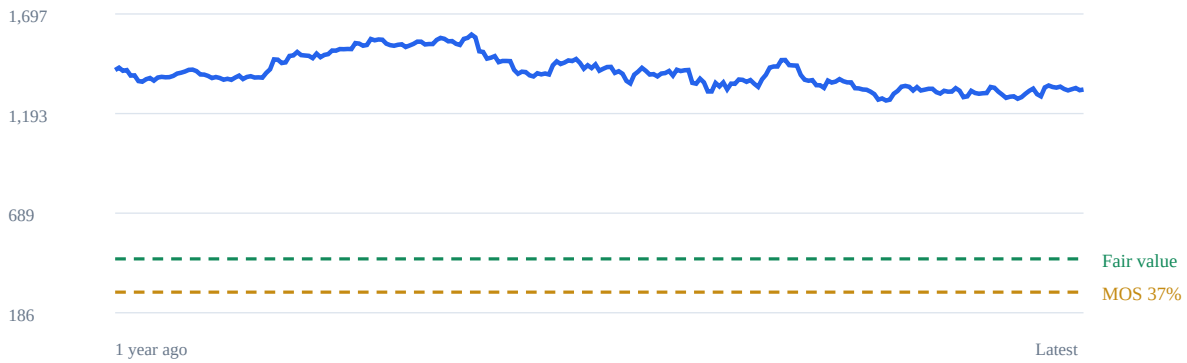
Reliance Industries Limited (RELIANCE.NS) • NSE • Generated 20 Aug 2026, 07:40

Executive summary

MARKET PRICE	BASE FAIR VALUE	UPSIDE / DOWNSIDE	37% MOS PRICE
INR 1,314.40	INR 457.98	-65.2%	INR 289.80

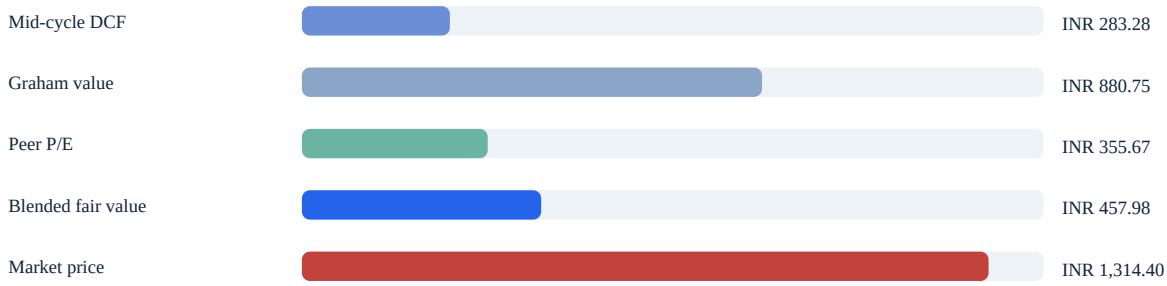
Assessment: **Above estimated fair value** | Model coverage: **Moderate**

Price vs valuation



The historical line is market price; fair value and MOS are today's model references, not historical estimates.

Base model comparison



Scenario valuation

Scenario	Growth	Discount	Terminal	Mid-cycle DCF	Graham value	Peer P/E	Blended
Conservative	2.5%	13.6%	4.0%	INR 164.53	INR 880.75	INR 355.67	INR 410.48
Base	6.5%	11.6%	5.0%	INR 283.28	INR 880.75	INR 355.67	INR 457.98
Optimistic	10.5%	10.1%	6.2%	INR 577.25	INR 880.75	INR 355.67	INR 575.57

Company & market snapshot

Sector	Energy	**Industry**	Oil & Gas Refining & Marketing
Market cap	INR 17,785,810,000,000.00	**Trailing P/E**	23.80
52-week range	INR 1,250.00 – INR 1,612.00	**Price / book**	1.97
Normalized EPS	INR 51.46	**Book value / share**	INR 670.00
Normalized FCF	INR 223,205,000,000.00	**Peer median**	6.91× P/E

External manual reviews

Source	Period	Fields	Citation
Moneycontrol (manual review)	FY2026	book_value_per_share, return_on_equity	Open source

External manual values are user-reviewed inputs. The cited source remains subject to its own terms and accuracy limitations.

Method and assumptions

Profile selected: Cyclical / commodity. The engine uses up to five annual observations for normalized inputs, a ten-year two-stage DCF (or residual income for financial institutions), Graham/book value, and live same-country peer medians. Sector-aware weights are 40%, 25%, and 35%. Missing methods are omitted and remaining weights are re-normalized. Scenarios are estimates, not price forecasts.

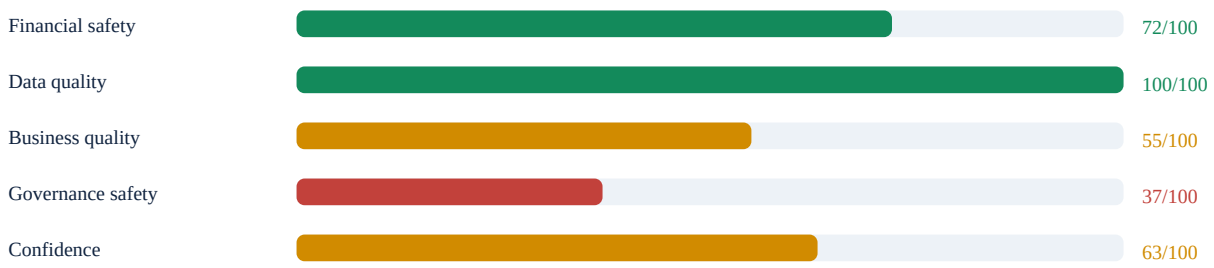
Valuation profile	Cyclical / commodity
Forecast period	10 years; growth fades after year 5
Base growth	6.5%
Base discount rate	11.6%
Base terminal growth	5.0%
Minimum / required MOS	20% / 37%
Financial risk score	28/100 (lower is better)
Data quality score	100/100
Live peers	ADANIENT.BO, ONGC.NS, COALINDIA.NS, IOC.BO, BPCL.BO
Data source	Yahoo Finance + Screener.in • RELIANCE.NS
Source updated	2026-08-20
Sources checked	Yahoo Finance, Screener.in
Cache delivery	Network retrieval
Data retrieved	2026-08-20 07:40 UTC

Assumption review & override disclosure

Automatic defaults were used without manual overrides.

Phase-2 safety and confidence analytics

Business quality	55/100 (higher is better)	**Governance risk**	63/100 (lower is better)
Confidence	63/100 — Moderate	**Model dispersion**	168.0%
Reverse DCF	35.8% implied initial growth	**Required MOS**	37%



Safety scores invert financial/governance risk so longer green bars are better.
The market price implies approximately 35.8% annual initial growth for five years, fading thereafter.

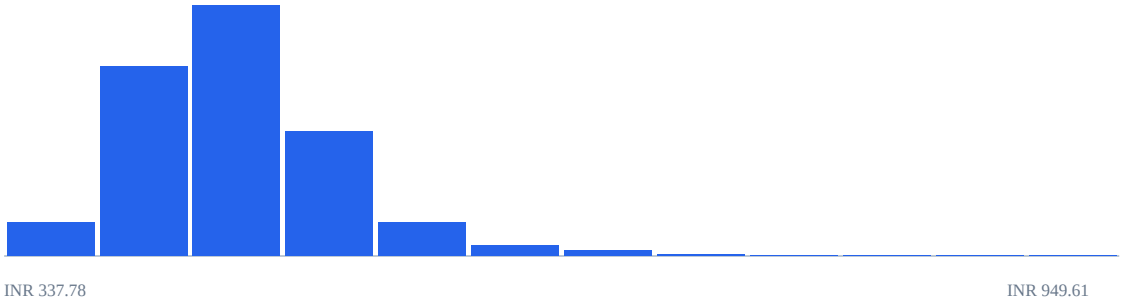
Fair-value sensitivity

Discount \ Terminal	4.0%	4.5%	5.0%	5.5%	6.0%
9.6%	INR 484.95	INR 495.14	INR 507.53	INR 522.91	INR 542.50
10.6%	INR 463.40	INR 470.27	INR 478.36	INR 488.01	INR 499.75
11.6%	INR 447.52	INR 452.38	**INR 457.98**	INR 464.49	INR 472.16
12.6%	INR 435.32	INR 438.90	INR 442.95	INR 447.57	INR 452.88
13.6%	INR 425.67	INR 428.38	INR 431.41	INR 434.81	INR 438.66

Green: above market price • Amber: near market price • Red: below market price • Bold: base assumptions

Monte Carlo valuation — Phase 3 item 11

P10	P25	Median	P75	P90	Probability FV > price	Simulations
INR 401.40	**INR 426.38**	**INR 459.70**	**INR 494.84**	**INR 534.84**	**0.0%**	**2,000**



Simulation varies normalized financial inputs, initial growth, discount rate, terminal growth, and peer multiples. Percentiles describe model uncertainty—not expected returns or the probability of making a profit.

Model audit trail

Analysis ID	FS-20260820-3AF39AA5076C	**Model version**	FairValueEngine 4.3
Parent analysis	FS-20260820-72FB29367DCA	**App / schema**	10.0.0 / 1.3
Created UTC	2026-08-20T07:40:16.029169+00:00	**Monte Carlo seed**	8467341731335645800
Audit SHA-256	52a72e86f031a893b1504a712ca7a733cf1529e9b44474b7402ff61f134840f3	**Integrity**	Valid

Stage	Action	Details
Identity	Analysis created	analysis_id=FS-20260820-3AF39AA5076C; parent_analysis_id=FS-20260820-72FB29367DCA; app_version=10.0.0; model_version=FairValueEngine 4.3; audit_schema=1.3

Stage	Action	Details
Data	Source snapshot	symbol=RELIANCE.NS; sources=Yahoo Finance, Screener.in; source_updated=2026-08-20; retrieved=2026-08-20 07:40 UTC; lineage_records=18; discrepancies=0; external_reviews=1; cache_status=network; cache_age_hours=0.0; is_stale=False
Methodology	Profile selected	profile=Cyclical / commodity; primary_model=Mid-cycle DCF; secondary_model=Graham value; peer_model=Peer P/E
Specialized financials	Financial-company metrics recorded	applicable=False; metrics=None
Normalization	Historical inputs normalized	fcf_observations=4; revenue_observations=4; income_observations=4; normalized_fcf=223205000000.0; normalized_eps=51.457336647439476; book_value_per_share=670
Assumptions	Automatic baseline recorded	growth=0.06491565540470445; discount_rate=0.1164; terminal_growth=0.05; years=10; dcf_weight=0.4; graham_weight=0.25; relative_weight=0.35; margin_of_safety=0.2
Assumptions	Reviewed assumptions accepted	preset=Automatic defaults; override_count=0; overrides={}; reviewer_note=None; growth=0.06491565540470445; discount_rate=0.1164; terminal_growth=0.05; years=10; dcf_weight=0.4; graham_weight=0.25; relative_weight=0.35; margin_of_safety=0.2
Models	Base models executed	primary=283.28436069596063; graham_or_book=880.7493116433019; peer=355.66760497208037; blended=457.9847339294379; excluded_models=None; peer_symbols=ADANIENT.BO, ONGC.NS, COALINDIA.NS, IOC.BO, BPCL.BO; fallback_used=False; fallback_reasons=None
Scenarios	Scenario values calculated	Conservative=410.48348123897483; Base=457.9847339294379; Optimistic=575.5728123989393
Risk	Scores and safety margin calculated	financial_risk=28; data_quality=100; business_quality=55; governance_risk=63; confidence=63; dynamic_margin=0.36723076923076925; model_dispersion=1.679840791219211
Sensitivity	Sensitivity grid calculated	discount_rates=[0.0964, 0.10640000000000001, 0.1164, 0.1264, 0.1364]; terminal_growth_rates=[0.04, 0.045000000000000005, 0.05, 0.055, 0.060000000000000005]; cells=25
Monte Carlo	Simulation completed	seed=8467341731335645800; requested_iterations=2000; successful_iterations=2000; percentiles={"P10": 401.39737548131006, "P25": 426.378091593072, "P50": 459.69637701531155, "P75": 494.8368272327663, "P90": 534.8397712709439}; probability_fair_value_above_price=0.0
Decision	Final estimate recorded	market_price=1314.4000244140625; fair_value=457.9847339294379; upside_pct=-65.15636599036128; mos_price=289.7986477925812; assessment=Above estimated fair value

The SHA-256 hash provides tamper-evidence for this audit record; it is not a digital signature or guarantee of model accuracy.

Data lineage & citations

Metric	Value	Source	Period	Transformation	Status
Market price	INR 1,314.40	Yahoo Finance	2026-08-20	Official-site price selected when available; otherwise latest Yahoo close	Selected

Metric	Value	Source	Period	Transformation	Status
One-year price history	251 sessions	Yahoo Finance	Through 2026-08-20	Latest available closing prices; last 252 sessions retained	Received
Shares outstanding	13,532,472,634	Yahoo Finance	2026-08-20	Reported shares outstanding; fallback to share-history endpoint	Received
Revenue history	4 annual values	Yahoo Finance	2026, 2025, 2024, 2023, 2022	Up to five annual statement values, latest first	Received
Normalized net income	INR 696,345,000,000.00	Yahoo Finance	2026, 2025, 2024, 2023, 2022	Median of available annual net-income observations	Normalized
Normalized free cash flow	INR 223,205,000,000.00	Yahoo Finance	2026, 2025, 2024, 2023, 2022	Median of annual FCF; CFO minus capex fallback when needed	Normalized
Normalized EPS	INR 51.4573	Yahoo Finance	2026, 2025, 2024, 2023, 2022	Median annual net income divided by current shares; reported EPS fallback	Derived
Book value per share	INR 668.0000	Screener.in	2026-08-20	Public top ratio or equity divided by shares	Selected
Trailing P/E	23.800x	Screener.in	2026-08-20	Direct provider ratio	Selected
Market capitalization	INR 17,785,810,000,000.00	Screener.in	2026-08-20	Crore value converted to currency units	Selected
Return on equity	8.91%	Screener.in	2026-08-20	Direct ratio; Screener percentage converted to decimal	Selected
Total debt	INR 3,979,999,969,280.00	Yahoo Finance	2026, 2025, 2024, 2023, 2022	Latest available annual balance-sheet value	Received
Cash and equivalents	INR 2,581,470,117,888.00	Yahoo Finance	2026, 2025, 2024, 2023, 2022	Latest available annual balance-sheet value	Received
Peer median P/B	1.408x	Yahoo Finance	2026-08-20	Median of 5 screened same-region industry/sector peers after outlier bounds	Derived
Indian ratio cross-check	11 public top ratios	Screener.in	2026-08-20	Cross-check selected price and fundamental ratios	Verified
Official exchange price check	Unavailable	NSE India	—	Best-effort public website quote check	Unavailable
Book value / share	INR 670.00	Moneycontrol (manual review)	FY2026	Manual external review; verify official filing	Manual
ROE	9.10%	Moneycontrol (manual review)	FY2026	Manual external review; verify official filing	Manual

Links open the cited public source. Values can change after retrieval; this table records the period, retrieval context, and transformation used by the analysis.

Interpretation, limitations & risks

• Fair value is highly sensitive to growth, discount-rate, terminal-growth, and normalized earnings assumptions.

• Free Yahoo/Screener/NSE/BSE website data can be delayed, incomplete, restated, rate-limited, blocked, or unavailable; verify figures against company filings.

• Banks, insurers, REITs, cyclical firms, loss-making firms, and businesses with unusual capital structures may require specialized models.

• Live peers are screened through free Yahoo Finance region, industry/sector, and market-cap filters; they may still differ in growth, leverage, accounting, or business mix.

• Currency is native to the listing. This report does not fully model governance, taxes, FX, liquidity, or portfolio concentration.

• Free cash flow has been highly volatile.

• Estimated ROIC (10.6%) is below the required return.

• Audit risk is elevated (6/10).

• Board risk supplied by the data provider is high (9/10).

• Overall governance risk supplied by the data provider is high (10/10).

• Receivables have grown materially faster than revenue.

• Promoter pledging, related-party transactions, auditor qualifications, and contingent liabilities must be checked in NSE/BSE filings.

• Free Yahoo Finance data may be delayed, incomplete, rate-limited, or changed without notice. Verify official filings.

• NSE India verification unavailable: HTTPError.

• Cash flow and earnings inputs use up to five annual observations and median normalization when available.

• Available model weights are automatically re-normalized when a model cannot be calculated.

• Dynamic margin of safety is 37% versus the 20% minimum after financial, quality, governance, data, sector, and model-disagreement adjustments.

Important disclaimer

For education and research only. This is an automated estimate, not investment advice, a recommendation, an offer, or a guarantee of future returns. Market prices can differ materially from model values. Independently verify all data and consult a SEBI-registered investment adviser in India or an appropriately registered financial professional in your jurisdiction before making investment decisions.